

Retirement, Provident Fund & Separations Policy

Document Information

This policy defines the operational guidelines, legal compliance requirements, and administrative procedures governing employee separations, retirement benefits, provident fund contributions, and final settlement processing at **LALA Company**.

1. Scope & Objective

This policy applies to all regular, full-time, and contractual employees of LALA Company. The objective is to establish a transparent, standard, and equitable process for managing end-of-employment transitions, ensuring statutory compliance, and facilitating prompt financial settlements.

2. Superannuation & Retirement

2.1 Retirement Age

The standard age of superannuation (retirement) for all employees at LALA Company is **60 years**.

2.2 Retirement Process

- **Notification:** The Human Resources department will issue an official communication to the employee six (6) months prior to their date of superannuation.
- **Handover Period:** The employee must initiate a structured knowledge transfer process at least thirty (30) days prior to the final working day.
- **Extension:** Any service extension beyond the age of 60 is strictly by exception, subject to executive approval and business requirement, offered on a fixed-term contract basis.

3. Resignation & Notice Period

Employees seeking to voluntarily end their employment must provide formal written notice to their department manager and the Human Resources department.

Employee Category	Probation Status	Required Notice Period	Option for Pay in Lieu
Executive / Management	Confirmed ▾	90 Days	Subject to Approval ▾
Non-Executive / Technical	Confirmed ▾	60 Days	Subject to Approval ▾
All Roles	On Probation ▾	30 Days	Permissible ▾

3.1 Notice Period Guidelines

- **Waiver of Notice:** LALA Company reserves the right to buyout or waive the notice period at its discretion.
- **Leave During Notice Period:** Unutilized annual leave cannot be used to offset the notice period unless specifically authorized by HR and the Department Head.

4. Provident Fund (PF) & Superannuation Benefits

4.1 Statutory Employees' Provident Fund (EPF)

- Mandatory contribution rates are applied in accordance with statutory regulations.
- Both the employee and LALA Company contribute the designated statutory percentage of the employee's basic salary toward the EPF scheme.
- Employees can manage, transfer, or withdraw their cumulative PF funds directly via the Universal Account Number (UAN) portal upon exit.

4.2 Superannuation Scheme (If Applicable)

For eligible senior management cadres, LALA Company maintains a Group Superannuation Scheme. Detailed annuity options and transfer mechanisms are outlined in the specific benefit schedule provided upon joining the scheme.

5. Gratuity Benefits

Gratuity is payable to an employee upon separation after rendering continuous service for a minimum required period, as mandated by statutory laws.

5.1 Eligibility

- Minimum continuous service of **5 years** with LALA Company.
- Exception: The 5-year requirement is waived in cases of separation due to death or permanent disablement.

5.2 Calculation Formula

Gratuity payout is calculated using the standard statutory formula:

$$\text{Gratuity} = \left(\frac{15}{26} \right) \times \text{Last Drawn Basic Salary} \times \text{Years of Service}$$

Note: Service rendered for 6 months or more in the final year is rounded up to a full year.

6. Final Settlement (Full & Final)

The Full and Final (F&F) settlement process ensures that all financial obligations between LALA Company and the departing employee are reconciled.

6.1 Components of Settlement

- **Payable to Employee:** Unpaid salary up to the last working day, encashment of balance leave, eligible statutory gratuity, variable pay/bonus (if applicable per scheme rules), and reimbursed business expenses.

- **Deductions:** Notice period shortfall (if applicable), outstanding company loans/advances, unreturned assets/equipment costs, and applicable statutory taxes.

6.2 Settlement Timeline

LALA Company processes the final settlement payment within **30 to 45 days** from the employee's last working day, subject to the complete submission of the clearance form and return of company assets.

7. Exit Clearance & Asset Return

Before the release of the final settlement and service certificate, the departing employee must obtain clearance from the following departments:

1. **Information Technology:** Return of laptops, access cards, peripherals, and revoking of system access.
2. **Finance & Accounting:** Clearance of travel advances, company credit cards, and outstanding loans.
3. **Administration:** Handover of keys, physical files, and corporate identification.
4. **Human Resources:** Exit interview completion and clearance form sign-off.